

# THE SEASON OF IPOs: Are You Thinking Of Going Public Too?

More and more organisations in India are filing to go public and raise funds. But why aren't they taking the foreign investment route instead? Should you, as an electronics company, file for an IPO? If yes, what are the checkpoints, and what are the challenges?

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The years 2020 and 2021 have been important for electronics. The government of India has launched numerous production-linked incentive (PLI) schemes for promoting indigenous manufacture of electronics within the country. Recent announcement for promoting manufacture of semiconductors and displays in the country is promising incentives of ₹760 billion.

What makes the previous two years more important for the electronics sector is the number of Indian electronics companies that have filed for Initial Public Offering (IPO), the most recent addition being Foxconn's India subsidiary. Foxconn, being the giant it is, could have easily invested in its Indian subsidiary, but it chose to take the IPO route. There is Data Patterns and Paras Defence from the strategic electronics sector, Lava Mobile from the smartphones and feature phones segment, Waaree from the solar segment, Elin Electronics and Syrma SGS from the EMS segment, and more!

The ones that have already listed themselves are witnessing a strong response from the market as well. For instance, aerospace electronics solutions provider Data Patterns' IPO saw massive interest from investors as the issue was sub-

scribed 119.62 times on the last day of bidding. What makes these IPO filings more interesting is the fact that there was a gap of more than six years between two electronics component contract manufacturers filing IPOs in India.

PG Electroplast had floated a ₹1.21 billion IPO in September 2011, while Dixon Technologies filed for IPO in May 2017. The latter's share price, as of December 28, 2021,

of growth opportunity for these companies, and this is already being noticed and rewarded by markets from the kind of returns delivered by Dixon Technologies, one of our top holdings," says Abhay Agarwal, Founder, Piper Serica, SEBI registered PMS.

## Why so many IPOs

The way the India based electronics companies are filing IPOs one after

another is something that has surprised not one but many share market gurus.

"There are several factors motivating electronics company IPOs, including a stronger-than-expected recovery in the economy after the second wave, continued FPIs and domestic flows in the markets, an increase in retail participation in the stock market, and

policy ecosystem which is favouring electronics companies and creating growth opportunities at a level playing field with most global companies," explains Agarwal.

The first and foremost reason encouraging Indian electronics companies to go public seems to be the increased size of the electronics manufacturing market. India's domestic electronics manufacturing industry, as per a MeitY official, is expected to be worth nearly ₹7 trillion. These figures represent 30% growth in the coming fiscal. Then there are heavy-weights like

### ELECTRONICS COMPANIES THAT HAVE FILED IPO PAPERS RECENTLY

| Name of Organisation                 | Origin Year    | Expectations  |
|--------------------------------------|----------------|---------------|
| Bharat FIH (Foxconn)                 | 2015           | >₹50 billion  |
| Syrma SGS Technology                 | Merged in 2020 | >₹10 billion  |
| Elin Electronics                     | 1969           | >₹7.6 billion |
| Data Patterns                        | 1998           | >₹6 billion   |
| Paras Defence and Space Technologies | 2009           | >₹1.5 billion |
| Maini Precision Products Limited     | 1973           | >₹8.5 billion |
| Lava International                   | 2009           | >₹14 billion  |

Organisations rumored to be filing IPOs soon: 1. Boat, 2. VVDN, 3. Alpha Design

was ₹5,645, and it was originally subscribed by the market at a price upwards of ₹2,200 in 2017. Similarly, the shares of PG Electroplast are being bought and sold at around ₹790 today, whereas these were being traded in the range of ₹100 to 150 during the year 2015.

"While many of the IPOs are still in the draft stage, the overall electronics industry presents a strong growth opportunity for investors. A large end-user industry, scalability of companies, availability of labour, capital, and a robust policy ecosystem have created a long runway